

Table 8.7 How Often Stops Hit

Description	Up Breakout	Down Breakout
Pattern top	77%	1%
Middle	23%	15%
Pattern bottom	3%	73%

Table 8.8 Performance and Failures Over Time for Bull Markets

Description	Up Breakout	Down Breakout
1990s	40%	−17%
2000s	46%	−14%
2010s	46%	−14%
Performance (above), Failures (below)		
1990s	15%	13%
2000s	17%	30%
2010s	17%	31%

If you place a stop at the top of the pattern, price will take out the stop 77% of the time after an upward breakout. Downward breakouts will only reach the top of the pattern 1% of the time. That makes sense, doesn't it?

Table 8.8 shows the performance over three decades. How has the pattern performed over time? Let's find out.

Performance over time. Upward breakouts in the 1990s suffered but downward breakouts did better. I can't explain why. The 2000s contained not one but two bear markets, but I excluded those results from the table.

Failures over time. The 1990s were the worst performers, but they have the best (lowest) failure rates. Again, this puzzles me. Because the failure rate is a function of performance, then I'd expected patterns that showed big moves to have lower failure rates. They don't.

Table 8.9 shows busted pattern performance. At one time, I thought that busted patterns were the way to make a bundle trading chart patterns. They can be, but it's not as easy as you might expect.